

Some common queries on how to monetise open source software

Q Initially, I had put my source code in the repository through MIT. In the next version, I made some changes and used AGPL. How does it matter if I started with the MIT licence and then switched to AGPL?

A. Let's suppose that your initial code is of 100 lines, and you have already put those lines in the open source domain through MIT. Version 2 under AGPL might be of 120 lines, and there will only be minor changes. If a company wants to use that particular functionality, it will have two options – either pay you for the AGPL licensed code or just develop 20 lines on the MIT version. In such cases, it will usually avoid paying the author anything. Therefore, from Day One, you should put your code under AGPL, because then every copy will be under it and you can request a fee for a commercial licensed copy.

Q Let's look at the case of free software that is developed by an individual and, over time, many contributors join in. At a point when the product is complete and becomes proprietary, can the other contributors claim that they also have a stake in the profits?

A. That's where the contributor licence comes into the picture. When you have an open source software project that you want people to contribute to, you can include a contributor licence agreement that contributors have to agree to and sign on, and you can modify this according to your needs. Your agreement could state that the moment a person contributes to this library, the contribution ceases to be theirs, but becomes yours and so you can relicense it. That's how contributors give up their rights to you. Credit for their contributions must be given to them, but you have the rights to relicense these.

Q How do contributors benefit, then? What motivates them to contribute if they make no money?

A. For many developers who contribute to an open source project, it's their hobby. They are playing with code – it's an exercise for them. They are getting better by solving complex problems when they contribute to the code. Also, they get recognition when they add a crucial feature to a popular library.

Earning money from open source

There are four ways in which you can earn money from open source.

- 1. Donations:** Wikipedia has been doing this. But it all depends on the size of your company and the general awareness about your product. If your company or your product can reach a large number of people, then you can get donations. For instance, at a talk I gave at Open Source India 2018, a member of the audience shared that he had built an open source OS for mobiles, but even after a span of three-four years, he was able to earn only around US\$ 30. One of the problems in this case was the lack of exposure and the limited reach of this OS.
- 2. Web apps:** If you have a website and you are getting enough clicks, because people are coming there to download your open source software, you can monetise the traffic through AdSense.
- 3. Support and maintenance:** Red Hat has been doing this for years. An author needs to create a great product and release it to the open source community. Users will contribute to it, and it will get better every day. Most of the established companies and MNCs need assistance or support to use this open source software – that way they can also request for extra features not available in the open sourced product. All these services are chargeable, and authors can make money this way.

- 4. Dual licensing:** Software can be licensed either under an open source licence or a commercial one. When the software is open sourced, it will be consumed by users as it's free and capable of offering certain functions. With time, such products will grow — the number of users will increase, people will contribute to the project, and it will get better and better every day. The original author of the open source software can then start giving out proprietary or commercial licences with no restrictions, for a fee, and thus monetise it. This is similar to the subscription model. Successful websites such as Facebook, Twitter and YouTube won't show you ads if you ask for a premium subscription at the beginning. Such firms will just try to get users in the beginning, but will eventually start monetising the traffic.

Note: This article is based on a talk at Open Source India 2018.

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